Twelve-Minus-One Month Momentum in a Pooled Universe of Large-Cap Equities from Seven Regions

SIQuant Research[1]

[1]Hypothesis × Quant

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Abstract

Hypothesis: H_0: the Sharpe ratio of past winners does not exceed that of past losers; H_1: it does

Data: 109 monthly cross-sections, median 126 stocks from 7 regions, 2017-09 to 2026-09 (formation months)

Method: Month-end sort on the 12-1 month cumulative return, equal-weight quintiles, one-sided stationary-bootstrap test of the Sharpe difference (5,000 draws, block 3)

Results: Sharpe 0.87 versus 0.54 (difference 0.33, one-sided $p = 0.1506$); mean monthly winners-minus-losers spread 0.52% ($t = 0.70$).

Research decision: REJECTED

1 Design

Momentum is the cumulative return over months $t-11$ to $t-1$, skipping the most recent month to avoid short-term reversal [Jegadeesh and Titman, 1993]. Stocks enter only with eleven consecutive observed months. Returns are in local currency.

2 Results

Table 1: Equal-weight momentum quintiles, monthly rebalanced, local-currency returns

Portfolio	Return	Vol	Sharpe	Max DD
Winners (Q5)	18.6%	22.6%	0.87	-24.6%
Losers (Q1)	11.0%	24.7%	0.54	-40.2%
All stocks	14.7%	15.5%	0.97	-20.3%

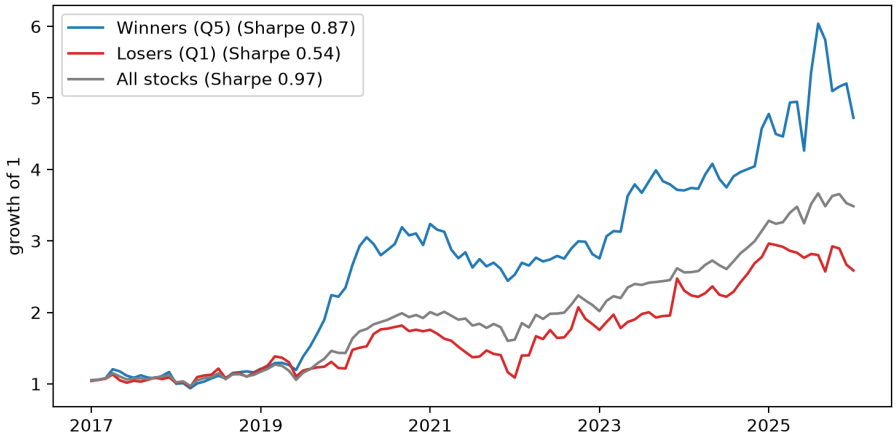


Figure 1: Growth of one unit in the winner, loser and all-stock portfolios.

3 Limitations

The universe is a fixed list of today's large caps: survivorship bias helps past losers that recovered and hides delisted ones, so it works against momentum in both tails in unknown proportions. About 130 stocks give quintiles of roughly 25 names, and the decade contains a few strong momentum crashes.

References

Narasimhan Jegadeesh and Sheridan Titman. Returns to buying winners and selling losers: Implications for stock market efficiency. *The Journal of Finance*, 48(1):65–91, 1993.